 Name _____

Costco: Reading the Real Financial Statements

Source: Costco Wholesale Corporation Form 10-K, fiscal year ended August 31, 2025 (some lines combined; amounts in millions) · sec.gov/Archives/edgar/data/909832/000090983225000101/cost-20250831.htm

Costco Wholesale Corporation
Consolidated Statement of Income

	Fiscal 2025
Net sales	$ 269,912
Membership fees	5,323
Total revenue	275,235
Merchandise costs	239,886
Selling, general and administrative	24,966
Operating income	10,383
Interest and other income, net	435
Income before income taxes	10,818
Provision for income taxes	2,719
Net income	$ 8,099

Costco Wholesale Corporation
Statement of Retained Earnings

	Fiscal 2025
Retained earnings, Sep 1, 2024	$ 17,619
Add: Net income	8,099
Less: Dividends	(2,183)
Less: Share repurchases and other	(885)
Retained earnings, Aug 31, 2025	$ 22,650

Costco Wholesale Corporation
Consolidated Balance Sheet

	Aug 31, 2025
Cash and cash equivalents	$ 14,161
Short-term investments and other	2,900
Receivables, net	3,203
Merchandise inventories	18,116
Total current assets	38,380
Property and equipment, net	31,909
Lease right-of-use and other assets	6,810
Total assets	$ 77,099
Accounts payable	$ 19,783
Accrued salaries and other current liabilities	14,471
Deferred membership fees	2,854
Total current liabilities	37,108
Long-term debt	5,713
Lease and other long-term liabilities	5,114
Total liabilities	47,935
Common stock and paid-in capital	8,284
Retained earnings	22,650
Accumulated other comprehensive loss	(1,770)
Total equity	29,164
Total liabilities and equity	$ 77,099

Costco Wholesale Corporation
Consolidated Statement of Cash Flows

	Fiscal 2025
Operating activities	
Net income	$ 8,099
Depreciation and amortization	2,426
All other operating items, net	2,810
Net cash provided by operating activities	13,335
Investing activities	
Additions to property and equipment	(5,498)
Other investing activities, net	187
Net cash used in investing activities	(5,311)
Financing activities	
Cash dividends paid	(2,183)
Repurchases of common stock	(903)
Other financing activities, net	(689)
Net cash used in financing activities	(3,775)
Effect of exchange rates	6
Net increase in cash	4,255
Cash, beginning of year	9,906
Cash, end of year	$ 14,161

FIND IT IN THE STATEMENTS

Write the amount ($ millions). Definitions are on the back.

1. How much does Costco expect to collect from its customers? **3,203**
2. What did the merchandise Costco sold this year cost it? **239,886**
3. What expense did it record for wages, rent, utilities and advertising? **24,966**
4. What is the cost of the goods still on its shelves and in warehouses? **18,116**
5. How much does it owe suppliers for goods bought on credit? **19,783**
6. What is the government's share of this year's profit? **2,719**
7. What was left of revenue after all expenses this year? **8,099**
8. What expense did it record for using up its buildings and equipment? **2,426**
9. How much cash did its day-to-day business bring in? **13,335**
10. How much cash did it pay for new stores, equipment and technology? **5,498**
11. How much did it pay its shareholders as dividends? **2,183**
12. How much profit has it earned over the years and kept in the business? **22,650**

KEY CONCEPTS (HINTS)

INCOME STATEMENT · A WHOLE YEAR

Revenue (net sales)
What the company earns from selling goods and services, recorded when *earned*.

Cost of sales (cost of goods sold, merchandise costs)
The cost of the inventory that was *sold*. It leaves the balance sheet and becomes an expense.

Operating expenses (SG&A)
Costs of running the business other than the goods: wages, rent, utilities, advertising.

Depreciation
The part of a building's or equipment's cost recorded as an expense each year as it is used up. No cash is paid when it is recorded.

Income tax expense (provision)
The government's share of the profit.

Net income
Revenue minus *all* expenses, including interest and taxes.

STATEMENT OF RETAINED EARNINGS

Retained earnings
Profit earned since the start and kept in the business. Beginning + Net income − Dividends = Ending.

Dividends
Profit paid out to shareholders. Not an expense.

BALANCE SHEET · ONE DATE

Assets = Liabilities + Equity
Everything the company owns is financed by creditors or by owners.

Current assets / current liabilities
Expected to be used up or paid within one year.

Accounts receivable
Amounts customers owe the company, expected to be collected in cash.

Inventory
Goods held for sale, recorded at cost until sold.

Accounts payable
Amounts owed to suppliers for goods or services bought on credit.

STATEMENT OF CASH FLOWS · A WHOLE YEAR

Operating activities
Cash from day-to-day business. Starts with net income and adds back expenses that used no cash, such as depreciation.

Investing activities
Buying and selling long-term assets, such as stores and equipment (capital expenditures).

Financing activities
Cash from or to lenders and owners: borrowing, repaying, dividends, buying back shares.

FINALLY, CALCULATE (USE THE NUMBERS ON THE FRONT)

Gross profit margin
13 = (Net sales − Cost of sales) ÷ Net sales — **11.1%**

Net profit margin
14 = Net income ÷ Total revenue — **2.9%**

Current ratio
15 = Total current assets ÷ Total current liabilities — **1.03**

13: (269,912 − 239,886) ÷ 269,912 = 11.1% · 14: 8,099 ÷ 275,235 = 2.9% · 15: 38,380 ÷ 37,108 = 1.03.
Costco keeps about 3 cents of every sales dollar as profit, and only about 11 cents after paying for the goods: it makes much of its profit from membership fees.

Some lines are combined. "Interest and other income, net" = interest income and other minus interest expense. Cash flow "other" lines are derived from reported totals.